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SPEARHEADING PHARMA INNOVATION

By prioritising value over volume, India's pharmaceutical industry can become a world leader in high-value exports and nearly triple its revenue by 2030, significantly impacting global healthcare

As the world's third-largest manufacturer of medicines by volume and the largest generics exporter, India has substantially impacted global healthcare. We provide cost-effective medicines to millions worldwide, with approximately 'one in three' pills consumed in the US and 'one in four' in the UK being produced in India. Our success in delivering accessible HIV treatment and low-cost vaccines has garnered international acclaim, earning India the well-deserved title of the 'Pharmacy of the World.' This success stems from our expertise in small- and large-molecule drug research and manufacturing, our ability to produce high-quality medicines at affordable prices, and our swift adaptation to global health crises, such as the Covid-19 pandemic.

The growth of India's pharmaceutical exports is impressive, increasing from ~$19 billion (Rs 1.6 lakh crore, at the current exchange rate) in FY19 to ~$28 billion (Rs 2.4 lakh crore) in FY24. However, India's 14th rank in terms of value highlights the potential to climb further up the value chain. To shift the sector from volume-based to value-based global leadership, it is crucial to grasp the potential that lies ahead for this industry.

The emerging opportunity: As non-communicable diseases like cancer and diabetes become major health challenges, biologics are emerging as the standard of care. Biologics, a crucial component of interventional medicines, are projected to comprise almost 40 per cent of all pharmaceutical spending by 2028 when global spending on medicines is expected to reach ~$2.3 trillion (Rs 193 lakh crore).

Biosimilars are making these advanced biologic treatments affordable and accessible globally, potentially saving billions of dollars annually for health systems. Recognising the global need for cost-effective biologics early on, Biocon pioneered the biosimilars space in India, initially introducing insulins and subsequently expanding to developing biosimilars for treating cancer and autoimmune diseases across the world.

Since its entry in the early 2000s, Biocon has commercialised eight biosimilars in global markets. Other Indian players who started with developing biosimilars for the domestic market have now started exploring the options to expand to global markets. With a large number of biologics coming off patent, it presents a good opportunity for Indian pharma players to invest in developing biosimilars for the global market, which is projected to rise by 2.5x from $21 billion (Rs 1.8 lakh crore) in 2023 to $56 billion (Rs 4.7 lakh crore) by 2030.

By serving unmet needs for affordable access to complex biologics, India's biosimilar players can replicate the success of the generics industry. Realising this vision will require large-scale research, development and manufacturing investments. It will also need government support in the form of infrastructure, funding and smart regulations.

Incentivising research & development: Developing and manufacturing biosimilars is complex and costly. Research-linked incentives can encourage the industry to boost R&D investments, offering higher incentives as products progress through development stages. The global pharmaceutical industry is projected to invest $233 billion (Rs 19.6 lakh crore) in R&D by 2026. For India to become a global pharmaceutical innovation hub, substantial investments in R&D, manufacturing and digital transformation are essential. Thus, fiscal incentives for R&D are vital for success in the biosimilars sector.

The Indian government's recent decision to establish a Rs 1 lakh crore financing pool to spur private sector-driven research and innovation is a welcome step. The Promotion of Research and Innovation in Pharma MedTech Sector initiative is expected to foster a culture of innovation.